

practices. The required information is gathered by using questionnaires geared towards the activities being benchmarked, conducting study visits to companies, holding discussions with the concerned host managers, and looking at available company documents and publications.

The success of benchmarking does not lie in the data collected but in understanding the best practices and the processes of implementing them. However, there is no universally accepted benchmarking process. It was originally invented as a formal process by Rank Xerox.

The appeal and acceptance of benchmarking have led to the emergence of various benchmarking methodologies. The most prominent is the 12-stage methodology propounded by Robert Camp, who wrote the first book on benchmarking in 1989. These 12 stages are:

1. Select a subject ahead
2. Define the process
3. Identify potential partners
4. Identify data sources
5. Collect data and select partners
6. Determine the gap
7. Establish process differences
8. Target future performance
9. Communicate
10. Adjust goals
11. Implement
12. Review/recalibrate

Advantages of benchmarking

Benchmarking is an effective management tool to identify ideas for change and to achieve continuous improvement in the way an existing activity, function or process is performed. Following are some advantages of benchmarking:

1. Minimises costs and saves time than reinventing improvement processes in-house
2. Helps in implementation of upcoming changes and sophisticated technological improvements arising out of change across industries
3. Bridges the competitive gaps
4. Initiates the formulation of strategic



Internal benchmarking is a comparison between units or departments of the same organisation

goals and objectives based on external models for improving activities and processes in the organisation

5. Stimulates an organisation to overcome its inertia and think differently in the context of new approaches/models implemented elsewhere

6. Facilitates organisational learning

7. Drives improvement in critical areas within the organisation by adapting best practices and processes

Key drivers for success of benchmarking

Factors that make benchmarking successful are:

1. Identifying other companies that are role models to learn from
2. Acquiring reliable and valid data from these companies about their best practices and standards, and how these are implemented in the critical areas of a firm that chooses to adopt these practices

The trendsetters

Some examples of companies that stand out for their best practices.

1. **Microsoft** for creativity, innovation, globalisation, entrepreneurship
2. **3M** for new product development, entrepreneurial spirit
3. **Motorola** for its Six Sigma quality culture
4. **Mc Kinsey** for high-level strategic consultancy services
5. **Compaq and Dell Computers** for their marketing and distribution systems
6. **Johnson & Johnson** for its ethics

3. Determining current competitive gaps and understanding the strategic and tactical reasons for the gaps

4. Re-engineering, improving or innovating on existing practices and processes to achieve better standards in critical areas

5. Set up an action plan to implement the identified improvements

6. Motivating the employees for effective implementation of the process of benchmarking.

If the same set of people are involved in benchmarking and in implementing the identified changes, the risk of resistance is minimised. On the other hand, it may even inspire creativity and commitment to change.

The abilities, experience, professional competence, influence and commitment of the people involved in benchmarking are the other factors critical to its success. A majority of employees can be tuned to benchmarking if its success can be exemplified with respect to a particular activity or process

7. Monitoring the progress regularly and recalibrating the standards to achieve continuous improvement

'Seeing is believing,' goes the saying. Seeing the viability of certain ideas, processes and activities, and their successful implementation by other companies, tends to bolster the self-confidence and the belief of a company that what others can do, it can do even better. It also helps in improving internally and in getting at par with others. But to gain the competitive edge, a company has to identify what it can do differently, how it can be a trendsetter, and perhaps even redefine or invent the rules of the game. Significant differentiators from the competition are the potential cornerstones of a firm's strategy. ●

The author is assistant professor, Department of Business Administration, St. Ann's College of Engineering & Technology, Chirala, Prakasam District, Andhra Pradesh